

Microsoft is closing its local operations in Pakistan

Microsoft is closing its operations in Pakistan, marking the end of a 25-year presence in the South Asian nation.

The Redmond-based company on Friday told TechCrunch that it is changing its operational model in Pakistan and will now serve its customers through resellers and “other closely located Microsoft offices.”

“Our customer agreements and service will not be affected by this change,” a Microsoft spokesperson said in an emailed statement.

“We follow this model successfully in a number of other countries around the world. Our customers remain our top priority and can expect the same high level of service going forward,” the spokesperson added.

The decision will impact five Microsoft employees in Pakistan, according to sources who talked with TechCrunch; they add that Microsoft did not have any engineering resources in Pakistan, unlike [India](#) and other growing markets, and had its employees sell Azure and Office products in the country.

The closure comes amid broader company restructuring. Pakistan’s Ministry of IT and Telecommunication [described](#) the Redmond company’s exit “as part of a wider workforce-optimization program.” Earlier this week, the company [reduced its workforce by 4%, or about 9,000 roles](#) globally.

To prepare for this transition, Microsoft had shifted licensing and commercial contract management for Pakistan to its European hub in Ireland over the past few years, while certified local partners have handled day-to-day service delivery, the ministry said.

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“We will continue to engage Microsoft’s regional and global leadership to ensure that any structural changes strengthen, rather than diminish, Microsoft’s long-term commitment to Pakistani customers, developers and channel partners,” the ministry noted.

Former Microsoft executive and its first lead in Pakistan Jawwad Rehman [reported](#) the company’s exit in a post on LinkedIn on Thursday.

“This is more than a corporate exit. It’s a sobering signal of the environment our country has created . . . one where even global giants like Microsoft find it unsustainable to stay. It also reflects on what

was done (or not done) with the strong foundation we left behind by the subsequent team and regional management of Microsoft,” Rehman posted.

The exit comes just days after Pakistan’s federal government announced its [plan to provide IT certifications](#) from tech companies including Google and Microsoft to half a million youth. The move stands in particularly stark contrast to Google, which disclosed a [\\$10.5 million investment](#) in the country’s public education sector last year and is also considering Pakistan as a [market to produce half a million Chromebooks](#) by 2026.

Microsoft’s exit reflects broader challenges in Pakistan’s tech sector. Unlike India and other regional markets, Pakistan has not established itself as a major engineering outsourcing destination for Western tech giants. Instead, the country’s tech ecosystem is dominated by two main players: local companies that have developed their own engineering capabilities, and Chinese firms like [Huawei](#), which have gained significant market share by providing enterprise-grade infrastructure to telecommunications companies and [banks](#).

Pakistan’s IT ministry did not respond to requests for comment.

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